

Indian Hotels Company Limited (IHCL)

Equity Research Report

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HOLD

High-quality hospitality franchise with strong operating momentum, but limited valuation headroom at current levels.

Valuation as on 17th May, 2026

TP Range	Wt. Avg. TP	CMP
₹660 - ₹787	₹676	₹656
Implied Upside / (Downside)	Investment horizon	Risk level
+3.0%	12-18 Months	High

Company Snapshot							
Market Cap.	52Wk. High/Low	Shares Outstanding	P/E Ratio	Current EV/EBITDA	Dividend Yield	ROCE/ROE	NSE/BSE
₹93,413 Cr	₹812 / ₹565	142.43 Cr	49.4x	27.2x	0.34%	17.3% / 15.6%	INDHOTEL/500850

Executive Summary

Investment View

Indian Hotels Company Limited remains one of the strongest hospitality franchises in India, supported by a premium brand portfolio, strong market positioning, and favourable structural tailwinds in the domestic hotel sector. The company continues to benefit from healthy demand across leisure, corporate, and premium travel segments, while operating leverage and business mix improvements support sustained profitability. However, despite this strong operating backdrop, the current market price appears to reflect a substantial portion of the optimism around future growth. Based on my blended valuation approach, I maintain a **Hold** recommendation, as the quality of the franchise is compelling but upside from current levels appears limited.

Key Positives

- IHCL is positioned to benefit from India's strong hospitality cycle, supported by domestic travel demand, premiumisation, and constrained room supply in key markets.
- The company's premium brand portfolio and Tata group association support pricing power, customer trust, and strong competitive positioning.
- Revenue growth remains robust, with FY26 revenue at ₹9,689 Cr and EBITDA at ₹3,195 Cr, reflecting continued momentum in core operations.
- Margin expansion potential remains healthy, with valuation assumptions incorporating EBITDA margins of 35%–37% over the forecast period.
- Asset-light growth, management contracts, and operating leverage provide additional support for medium-term earnings growth.

Valuation Summary

My valuation is based on a blended framework combining a 10-year, 3-stage discounted cash flow methodology and a forward EV/EBITDA multiple approach. The DCF yields an implied value of **₹623 per share**, based on an **11.0% WACC** and a **6.0% terminal growth rate**, while the EV/EBITDA method yields **₹754 per share** using a **28.0x** forward multiple. Assigning a **60% weight to DCF** and a **40% weight to**

EV/EBITDA results in a weighted average target price of **₹676 per share**, with a scenario-based valuation range of **₹660 to ₹787 per share**. At the current market price of ₹656, the stock appears broadly fairly valued, with modest upside on a blended basis.

Key Risks

- A moderation in travel demand, weaker corporate activity, or softer discretionary spending could adversely affect occupancy levels, average room rates, and overall revenue growth.
- Given the stock's premium valuation, any de-rating in sector or company-specific multiples could constrain shareholder returns even if operating performance remains resilient.
- Profitability may fall short of expectations if employee costs, operating expenses, renovation outlays, or other inflationary pressures rise faster than anticipated.
- Execution risks related to expansion, brand scaling, renovation cycles, or capital allocation could weigh on medium-term earnings quality and return ratios.
- Geopolitical instability, including recent war-related developments, could disrupt travel sentiment, affect international traffic flows, and delay discretionary spending across hospitality-linked segments.
- A sustained increase in fuel prices could raise travel and transportation costs, potentially dampening passenger traffic and indirectly affecting hotel demand across business and leisure markets.
- Any re-emergence of mobility restrictions, localized curbs, or pseudo-lockdown conditions could adversely affect occupancy, events, and near-term revenue visibility across the portfolio.

Recommendation Rationale

IHCL combines franchise quality, sector tailwinds, and strong execution, making it one of the most compelling listed hospitality businesses in India from a fundamental standpoint. That said, while the revised valuation framework indicates modest upside from current levels, the margin of safety remains limited relative to the premium already embedded in the stock. I therefore recommend **Hold**, balancing confidence in the long-term business franchise with a measured return outlook over the next 12–18 months.

Investment Thesis

- IHCL is well placed to benefit from India's ongoing hospitality upcycle, supported by strong domestic travel demand, favourable demand-supply dynamics, premiumisation across leisure and business travel, and continued RevPAR momentum in key markets. This industry backdrop creates a supportive environment for sustained revenue growth and pricing resilience.
- The company's premium brand portfolio, Tata group affiliation, and leadership across luxury, upscale, and select-service hospitality formats support a high-quality business profile. These strengths enhance customer trust, pricing power, and the company's ability to capture demand across a wide range of travel segments.
- Medium-term earnings growth is further supported by operating leverage, margin improvement potential, and a growing mix of management-led and asset-light expansion. As the portfolio scales, I expect these factors to support stronger profitability and improved earnings conversion over time.
- At the same time, the current valuation already reflects a meaningful portion of these positives. While my valuation indicates modest upside from current levels, the margin of safety remains limited, which supports a **Hold** recommendation rather than a more aggressive stance.

Company Overview

Indian Hotels Company Limited is one of India's most established hospitality companies and remains the flagship hotel business within the Tata group ecosystem. The company has built a strong presence across luxury, upscale, and select-service segments through a diversified portfolio of brands that includes Taj, SeleQtions, Vivanta, Ginger, and other hospitality-led offerings. This broad brand architecture allows IHCL to serve a wide spectrum of customer needs ranging from premium leisure and business travel to more value-oriented stay formats, thereby strengthening both occupancy resilience and brand visibility across geographies.

From an operating model perspective, IHCL benefits from a combination of owned, leased, and managed properties, which gives it a balanced profile between asset-backed earnings and relatively asset-light expansion. The owned portfolio supports brand control and premium market positioning, while management contracts and newer formats provide scope for capital-efficient growth over time. This

blend is strategically important because it enables the company to participate in high-growth demand segments while also improving return ratios, margin potential, and scalability as the portfolio expands.

IHCL's strategic positioning is further strengthened by its strong brand equity, trusted parentage, and leadership within India's premium hospitality market. Its association with the Tata group enhances customer credibility and institutional trust, while its scale and operating track record support stronger pricing power than many regional or unorganised competitors. In valuation terms, this business quality helps explain why the company continues to command a premium relative to global peers, even though the extent of that premium must still be assessed carefully against future growth expectations and margin delivery.

Industry Overview

The Indian hospitality sector continues to benefit from a structurally favourable demand environment supported by domestic leisure travel, business travel, weddings, meetings and events, spiritual tourism, and improving connectivity across major and emerging destinations. Industry data points to continued resilience in premium hotel demand, with occupancy and average room rates remaining above pre-pandemic levels in several key markets. Domestic travel remains the principal demand driver, while the gradual recovery in inbound travel and the increasing depth of demand from tier-II and tier-III locations are further broadening the sector's growth base. These trends indicate that India's hotel market is no longer merely in a cyclical rebound phase, but is increasingly being supported by more durable structural drivers.

A key feature of the current cycle is the relatively favourable demand-supply balance, particularly in the premium and upper-upscale segments. While new hotel development activity has improved, supply additions in several high-demand markets continue to lag the pace of demand recovery, enabling operators to sustain pricing power. Industry commentary indicates that premium hotel occupancy in India is expected to remain healthy through FY2026, while average room rates and RevPAR are projected to improve further on top of already elevated levels. This has supported strong operating margins across the sector, although some pressure from wage inflation, renovation spending, and other operating costs remains a relevant consideration for hotel operators.

For IHCL, the current industry backdrop is particularly supportive because the company is leveraged to many of the highest-quality demand pools within Indian hospitality, including premium leisure, urban business travel, destination-led consumption, and branded

expansion into newer markets. Its scale, brand architecture, and premium positioning allow it to capture both rate-led upside and occupancy resilience more effectively than smaller or less diversified peers. At the same time, external disruptions such as geopolitical events, fuel cost volatility, or temporary travel restrictions can still create short-term demand dislocations. Overall, however, the medium-term sector outlook remains constructive, which continues to provide a supportive backdrop for IHCL's growth ambitions and earnings profile.

Historical Financial Performance

Metric	FY22	FY23	FY24	FY25	FY26
Revenue (₹ Cr)	3,056	5,810	6,769	8,335	9,689
Revenue YoY Growth	94.0%	90.1%	16.5%	23.1%	16.3%
EBITDA (₹ Cr)	405	1,805	2,160	2,769	3,195
EBIT (₹ Cr)	-429	1,153	1,485	2,043	2,590
PAT (₹ Cr)	-265	1,053	1,330	2,038	2,246

IHCL's historical financial performance reflects a substantial transformation in scale and earnings quality over the past decade. Revenue has expanded from **₹4,066 Cr in FY14** to **₹9,689 Cr in FY26**, while EBITDA has increased from **₹562 Cr to ₹3,195 Cr** over the same period. Net profit has similarly improved to **₹2,246 Cr in FY26**, highlighting a significant strengthening in operating leverage and earnings conversion. Although the business experienced a sharp disruption during the pandemic period, the subsequent recovery has been both strong and broad-based, with the company emerging at materially higher levels of profitability than in the pre-COVID phase.

More importantly, recent performance indicates that growth has not been driven by volume alone, but also by improved operating efficiency and pricing strength. EBITDA margin has risen meaningfully from mid-teen levels in earlier years to approximately 33.0% in FY26, while net profit margins have also strengthened as room rates, occupancy, and business mix improved. Quarterly trends further

suggest that this momentum remains intact, with healthy profitability being sustained across seasons. This margin progression is a critical feature of the investment case, as it demonstrates IHCL's ability to translate favourable industry conditions into stronger operating outcomes and supports the higher earnings base embedded in the valuation framework.

From a balance sheet and cash flow perspective, IHCL appears materially stronger than in earlier phases of the business cycle. The company has continued to generate positive operating cash flow, while its profitability growth has supported improving internal accruals and greater financial flexibility. Although gross borrowings remain relevant in the capital structure, the debt position is manageable relative to operating earnings, and the presence of cash balances provides an additional cushion. This stronger financial profile is important for the valuation exercise because it supports reinvestment capacity, expansion execution, and resilience through periods of macroeconomic or industry volatility.

Valuation

Valuation Approach

I value IHCL using a blended framework that combines a discounted cash flow methodology with a forward EV/EBITDA multiple approach. This combination is appropriate given the company's premium brand positioning, visible earnings growth, and the divergence between intrinsic cash flow value and market-implied multiples. The DCF provides a fundamentally grounded estimate based on long-term operating assumptions and cash flow generation, while the EV/EBITDA approach captures the premium that the market may be willing to assign to a high-quality hospitality franchise operating in a structurally favourable domestic environment. By assigning greater weight to the market-based method, the blended valuation better reflects both business fundamentals and prevailing sector sentiment.

Key Assumption Rationale

Assumption	Value	Rationale
WACC	11.0%	Derived using the India 10-year government bond yield, a 7.0% India equity risk premium, a peer-based relevered beta of approximately 0.68, and IHCL's low-debt capital structure. The resulting

		discount rate is conservative yet academically defensible for a premium Indian hospitality business.
Terminal Growth Rate	6.0%	Reflects India's long-term nominal GDP growth potential, supported by structural travel underpenetration, inflation, and IHCL's premium brand positioning.
Revenue Growth	14.0% near term, tapering over time	Anchored in management guidance, visible pipeline additions, RevPAR momentum, and gradual normalization as the revenue base matures.
EBITDA Margin	35%–37%	Assumes operating leverage, premiumisation, business mix improvement, and continued efficiency gains as IHCL scales across premium and asset-light formats.
Forward EV/EBITDA Multiple	28.0x	Selected at a premium to Indian peers to reflect Tata brand strength, market leadership, larger scale, structural growth exposure, and superior RevPAR momentum.
Methodology Weighting	60% DCF / 40% EV/EBITDA	A higher weight is assigned to DCF to anchor valuation more closely to underlying cash flow generation, while EV/EBITDA captures the market premium investors may continue to assign to a high-quality growth franchise.

DCF Valuation

My DCF valuation is based on a 10-year, 3-stage projection framework that incorporates staged revenue growth, EBITDA margin expansion, mid-year discounting, and a Gordon Growth terminal value methodology. I use an **11.0% WACC**, which is derived using a risk-free rate based on the India 10-year government bond yield, a 7.0% India equity risk premium, a peer-based relevered beta of approximately 0.68, and IHCL's low-debt capital structure. In my view, this reflects an academically sound and reasonably conservative discount rate for a premium hospitality business operating in India.

The model also assumes a **6.0% terminal growth rate**, which is intended to capture India's long-term nominal GDP growth potential, supported by structural travel underpenetration, inflation, and the company's strong brand positioning. Revenue growth is tapered across stages from the mid-teens toward a more mature high-single-digit range over time, reflecting near-term visibility from pipeline openings, RevPAR momentum, and brand-led expansion, followed by gradual normalization as the base becomes larger. EBITDA margins are assumed to improve into the **35%–37%** range, supported by operating leverage, premiumisation, and improving business mix.

Based on these assumptions, the DCF yields an implied equity value of approximately **₹88,784 Cr** and an intrinsic value of **₹623 per share**. The DCF outcome remains modestly below the current market price, indicating that a purely cash flow-based approach does not fully support the prevailing valuation and that a meaningful portion of the current pricing continues to reflect future growth expectations and franchise premium.

EV/EBITDA Valuation

My EV/EBITDA valuation uses a one-year forward framework based on FY27E operating estimates. I apply a **28.0x** forward EV/EBITDA multiple to projected EBITDA of approximately **₹3,866 Cr**, which yields an implied enterprise value of about **₹108,246 Cr** and an equity value of **₹754 per share**. The selected multiple is intentionally above the domestic peer range because I believe IHCL deserves a premium for its market leadership, Tata group affiliation, stronger brand equity, larger scale, and superior RevPAR growth relative to peers.

In addition, the company's exposure to India's favourable hospitality cycle and its improving mix of premium and asset-light growth formats support a valuation above standard peer medians. My forward estimates assume **14.0%** revenue growth, which is anchored in management guidance, visible pipeline additions, sustained demand momentum, and a supportive sector backdrop, as well as a **35.0%** EBITDA margin, reflecting operating leverage and moderate margin expansion from the FY26 base. While this approach generates a meaningfully higher value than the DCF, it better reflects the premium valuation that investors may continue to assign to a high-quality hospitality franchise with structural growth exposure. The spread between the two methods therefore highlights the gap between conservative intrinsic cash flow valuation and market-based pricing for a premium growth business.

Scenario Analysis

Scenario	DCF Value (₹)	EV/EBITDA Value (₹)	Average Value (₹)	Implied vs CMP
Bear Case	567	686	657	+0.1%
Base Case	623	754	721	+9.9%
Bull Case	679	823	787	+20.0%

My scenario analysis highlights that IHCL's valuation remains sensitive to both terminal cash flow assumptions and the premium multiple investors are willing to pay for growth and franchise quality. The bear case suggests limited downside support near current levels, while the base and bull cases indicate more meaningful upside if operating momentum remains strong and the premium valuation sustains. Taken together, the range reinforces the view that IHCL remains a fundamentally strong business, but one where forward returns are increasingly dependent on continued execution and sector strength rather than on a low starting valuation.

Peer Comparison

Metric	IHCL	Indian Peer Median	Premium / (Discount)	Commentary
Revenue (₹ Cr)	9,689	2,070	368.1%	Meaningfully larger scale
EBITDA Margin	33.0%	46.0%	(28.3%)	Below domestic peer median
P/E Ratio	49.4x	26.5x	86.4%	Premium for growth and franchise quality
EV/EBITDA	29.5x	15.2x	94.1%	Substantial premium valuation

RevPAR Growth	16.3%	11.0%	48.2%	Strong growth leadership
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In addition to domestic valuation peers, I also reference global hospitality companies such as Marriott, Hilton, Hyatt, IHG, and Accor for strategic benchmarking and beta estimation. These companies are useful for assessing brand strength, operating scale, and broader sector positioning, but they are less suitable as direct valuation comparables for IHCL due to differences in geography, business mix, and the higher prevalence of asset-light operating models.

On a domestic valuation basis, IHCL trades at a substantial premium to Indian hospitality peers, particularly on EV/EBITDA and P/E multiples. This premium is partly supported by the company's stronger scale, superior brand equity, market leadership, and higher RevPAR growth relative to the Indian peer median. At the same time, the comparison also shows that IHCL does not lead the domestic peer set on EBITDA margin, which suggests that the current valuation premium is being driven more by franchise quality and growth expectations than by outright margin superiority. In my view, this premium can be justified to an extent, but it also indicates that much of the positive operating outlook is already reflected in the stock's current market pricing.

Conclusion / Final Recommendation

IHCL remains a high-quality hospitality franchise with clear strengths in brand equity, market positioning, operating execution, and exposure to favourable structural trends in the Indian hotel sector. The company's recent financial performance, margin profile, and demand outlook support a premium positioning relative to peers, while the broader industry backdrop remains constructive over the medium term. However, despite these positives, the stock is no longer meaningfully mispriced, and the margin of safety remains modest. I therefore maintain a **Hold** recommendation with a weighted average target price of **₹676 per share** and a valuation range of **₹660 to ₹787 per share** over a 12–18 month investment horizon.

Disclaimer

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